

In the 40 years since Kingsley and Icahn set down the Icahn Manifesto, neither his philosophy nor his strategy have changed much. The name for his method evolved from corporate raiding to activist investing, and the targets have grown in size as his capital grew, but he still seeks to take “large positions in ‘undervalued’ stocks” and attempt to “control their destinies” as he had in the 1970s. He was active through the 1990s, where many of his contemporaries in the 1980s had fallen by the wayside, and he continued to agitate at companies consistently through the 2000s. His brand of activism has always had more than a shred of opportunism. He seeks out crises that force down share prices deeply below valuation, then harnesses the attendant shareholder frustration to gain control.

The strategy has worked. Icahn can lay claim to being one of the great value investors. His returns, measured from the date of his schedule 13D filings to his exit, are extraordinary: an annualized 29 percent through June 30, 2013, compared with 6.9 percent for the S&P 500 index, according to *13D Monitor*, a research service.⁵⁵ He continues to be active, seeking out new crises, not for their own sake, but because it creates urgency and opportunity. The uglier, the better. He bought another biotech, Forest Laboratories, in May 2012, two months after its top drug, the antidepressant *Lexapro*, went off patent. He bought back into Chesapeake Energy in May 2012 as natural gas prices nosedived and it looked as if the company might succumb to its debt load. After the stock had crashed 55 percent from its 52-week high, Icahn noted in a letter to the board attached to his schedule 13D filing that he believed Chesapeake had “collected some of the best oil and gas assets in the world” but “the low stock price today does not reflect the value of those assets; rather the stock price suffers because of the enormous risk associated with an ever changing business strategy, enormous capital funding gap, poor governance, and unchecked risk taking.”⁵⁶ Icahn, as always, advocated for shareholder engagement, while taking the opportunity to point out a few of his successes:⁵⁷

We believe that shareholder representation on boards, even in a minority capacity, is an extremely powerful tool to instill accountability in a company. This has proven to be the case in numerous companies on which we had minority board representation, including Motorola, Biogen, Genzyme, and Hain Celestial to name a few.

RETURNS TO ACTIVISM

While Icahn’s returns are particularly good, the returns to activism generally are also strong, significantly beating the market over both the short and long term. (In contrast to their reputation, activists tend to be long-term